

the buffet lines. Fundamentalists could care less about graphs and wiggles. They concentrate on corporate earnings, the economy, and events in the real world that affect investments.

One Fundamentalist I cornered right away was Al Frank, a massive Zero Mostelian presence in purple pants bunched at the waist with a drawstring. Mr. Frank had a gnomelike face and an appealing diffidence. On television, I'd seen him many times apologizing for himself, saying things like "the market just confuses me." I'd hardly shaken his hand before he apologized for his bad breath. He said he hadn't had time to brush his teeth on the airplane.

I took him aside and invited him to lunch, where he told me his remarkable story. He'd been a professor with a master's degree in American studies, who in the early 1970s began to manage an investment portfolio of a few hundred dollars as a hobby. He found he'd done so well that by late 1977 he put \$8,000 into this account, and borrowed another \$8,000 on margin, and devoted himself to making it grow. In 1982, he quit his job, and went into the investing business full time.

Contrary to Mr. Prechter's suggestion, Mr. Frank had disinvested in his own career and pinned his future hopes on the few thousand dollars he'd put into stocks. I told him that I'd recently done the same, which made us kindred spirits. The difference was that Mr. Frank's portfolio had grown to \$1.2 million to date, which made me sorry I'd invited him to lunch.

Mr. Frank reminded me he'd added a couple of hundred thousand to his account along the way—so it wasn't exactly rags to riches—and also that it took ten years for him to reach the \$1.2 million. Still, it was an impressive gain, the kind I'd hope for myself. He told me that halfway through the effort, he began to send out a mimeographed newsletter explaining his methods and tracking his results. He was going to call his newsletter *The Pinch-Penny Speculator, a Fortnightly Epistle on Investing*. Later, he simplified it to *The Prudent Speculator*.

To date, *The Prudent Speculator* had attracted a substantial following: several thousand subscribers at an annual \$175 each. Mr. Frank showed me some sample copies. It was the only market